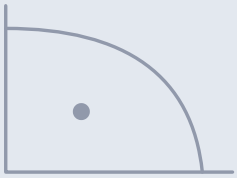


PREVIEW

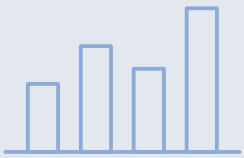


$GDP = C + I + G + (X - M)$

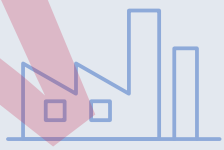


PPC

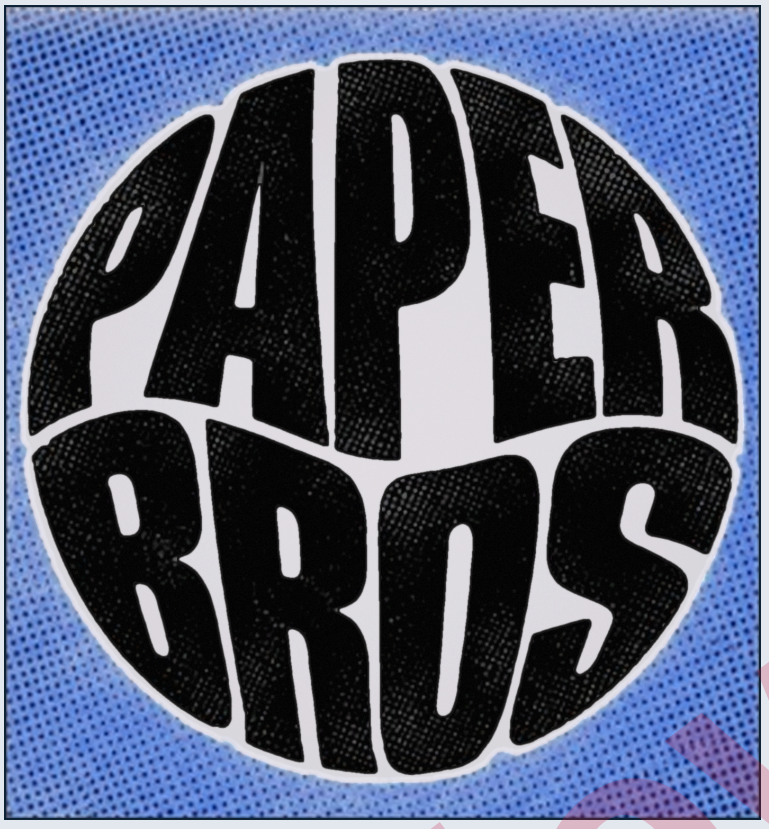




Exports − Imports



$PED = \%\Delta Qd \div \%\Delta P$



Opportunity cost

A ONE STOP SOLUTION FOR YOUR BOARDS

DEVELOPED BY STUDENTS, FOR STUDENTS

Profit = TR − TC

CPI %

$TR = P \times Q$

CAMBRIDGE O LEVEL

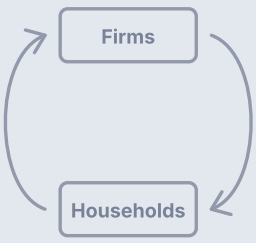
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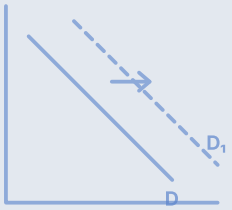
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COMPLETE STUDY NOTES

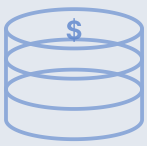
THEORY · DIAGRAMS · EXAMINER TIPS · PRACTICE QUESTIONS · ANSWERS

ALL 6 SYLLABUS TOPICS · PAPER 1 MULTIPLE CHOICE · PAPER 2 STRUCTURED QUESTIONS





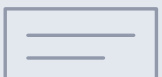






Demand ↑ → Price ↑

Unemployment rate %



A PRODUCT OF PAPERBROS

$S = D$

Preview

Preview

Cambridge O Level Economics 2281

Complete Revision Notes

First edition, November 2026.

These notes have been written to match the content of the Cambridge O Level Economics 2281 syllabus for examination in 2027, 2028 and 2029. They are an independent study resource and have not been produced, reviewed or endorsed by Cambridge University Press & Assessment. Exam-style questions, mark schemes and model answers are written in the style of the examination and are not official past paper material.

Unless a source is named, the data used in examples and questions is illustrative. Real-world figures were correct to the best of our knowledge at the time of writing.

A product of *paperbros*

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Preview

How to use these notes

These notes cover every learning point in the Cambridge O Level Economics 2281 syllabus for examination in 2027, 2028 and 2029. The chapters follow the order and numbering of the syllabus, so each section can be matched directly to the syllabus document.

Features of this book

Throughout the book, information is presented in a small number of consistent feature panels. Each type of panel has its own colour, so that it can be recognised quickly during revision.

DEFINITION | Key term

Precise definitions of the terms named in the syllabus. These should be learned **word for word**, since "Define" questions reward exact wording.

EXAMINER'S NOTE

Guidance on what examiners reward, and on how to approach particular types of question.

COMMON ERROR

Errors that are frequently made in examinations, with an explanation of the correct approach.

CHAIN OF ANALYSIS

Step-by-step reasoning (A → B → C → D). Developed chains of this kind are required for the higher marks in "Explain" and "Analyse" questions.

EVALUATION

Arguments on both sides of an issue, followed by a reasoned judgement — the skill tested in part (d) "Discuss" questions.

APPLIED EXAMPLE

Applications of the theory to real economies, which can be used to support answers in Paper 2.

Σ FORMULA

Every calculation required by the syllabus. Each formula is followed by a worked example.

MEMORY AID

Short mnemonics to help with recall of lists, such as the causes of a shift in demand.

A suggested method of study

Read a section slowly and highlight the definitions → **Close** the notes and write out the definitions and diagrams from memory → **Check** against the notes and correct every gap → **Practise** the MCQs and structured questions at the end of the chapter → **Mark** your answers using the answer section and learn from every error

EXAMINER'S NOTE — What an A* answer requires

An A *in O Level Economics needs three things together: (1) accurate definitions using the correct terms, (2) developed explanations that link cause → effect → result, and (3) balanced evaluation** that reaches a justified judgement. These notes are built around exactly those three skills.

Preview

Know your exam

The two papers

Time	1 hour	2 hours
Marks	40 marks (40 questions)	80 marks
Weighting	30% of the qualification	70% of the qualification
What you do	Answer **all** 40 questions. Some need calculations or reading diagrams.	**Section A:** one compulsory 20-mark question (parts (a)–(f)) based on unseen information about a real economic situation. **Section B:** answer **three** questions from a choice of **four** (20 marks each, parts (a)–(d)).
Skills tested	AO1 Knowledge (50%), AO2 Analysis (50%)	AO1 Knowledge (40%), AO2 Analysis (45%), AO3 Evaluation (15%)
Calculator?	Yes	Yes

The assessment objectives (AOs)

AO1 · Knowledge & understanding (43%)

Definitions, formulas, concepts, theories. Use **economic terminology** precisely.

AO2 · Analysis (47%)

Select and interpret data; apply analysis to text, numbers and diagrams; develop **links and relationships** (chains of reasoning).

AO3 · Evaluation (10%)

Weigh up information and arguments; recognise that economic decisions have **uncertain outcomes**; reach a judgement.

> **EXAMINER'S NOTE** **Using the information in Paper 2**
>
> In **Section A** you *must* use the information given (the data, text, tables and diagrams). Answers that ignore the source lose marks — quote figures and refer to the case directly. In **Section B**, the short introduction gives context; you may use it and/or other examples you have studied.

Timing plan for Paper 2 (120 minutes, 80 marks)

That is **1.5 minutes per mark**. A sensible plan:

5 min — read the whole paper, choose your 3 Section B questions → **30 min** — Section A (20 marks) → **27 min** — Section B question 1 → **27 min** — Section B question 2 → **27 min** — Section B question 3 → **4 min** — check diagrams, labels and calculations

> **COMMON ERROR** **Spending too long on short parts**
>
> Writing half a page for a 2-mark "Define" question steals time from the 8-mark "Discuss" question at the end. **Let the marks guide the length.**

Preview

Command words decoded

Every question starts with a **command word**. It tells you exactly what the examiner wants. Here are all the command words in the 2281 syllabus, with what they really mean.

Command word	Official meaning	What to actually do
Define	give precise meaning	Give the textbook definition — short, exact, using key terms. No examples needed (but one can help).
State / Give / Identify	express in clear terms / produce an answer / name, select, recognise	One word or one line per mark. No explanation needed. In Section A, take it from the source.
Calculate	work out from given facts, figures or information	Show the formula, the working and the answer **with units** (%, $, etc.).
Describe	state the points of a topic / give characteristics and main features	Say *what* happens or what something is like — no need to say *why*.
Explain	set out purposes or reasons / make relationships clear / say why and/or how	Give the reason **and develop it**: point → *because* → *which leads to* → result.
Analyse	examine in detail to show meaning, identify elements and the relationship between them	Break into parts, then show the **links** between them, often with a diagram.
Discuss	write about issue(s) in depth in a structured way	Both sides (**why it might** and **why it might not**), then a reasoned **conclusion**.

How to write a top-band "Explain" answer

A typical 4-mark "Explain two..." question awards marks for **identifying** each point and **developing** it. Development means a logical chain.

CHAIN OF ANALYSIS **Example: "Explain two reasons why the price of rice may rise." [4]**

1. **A poor harvest due to flooding** (identify) reduces the supply of rice, so at the original price there is a shortage, which pushes up the price (develop).
2. **Population growth** (identify) increases the number of consumers, so the demand for rice increases, shifting the demand curve to the right and raising the equilibrium price (develop).

How to tackle the 8-mark "Discuss" question (part (d))

Part (d) questions in Section B are marked using **levels of response**: the examiner judges the overall quality of your answer. To reach the top level you need **clear, logical analysis of both sides** and a **reasoned evaluation**.

(1) Why it might...

2–3 well-developed points in favour. Each one is a full chain of reasoning, ideally with a diagram if relevant.

(2) Why it might not...

2–3 well-developed points against. Again, full chains — not a list of one-liners.

(3) Conclusion

A *justified* judgement: "It depends on..." (e.g. PED, size of the change, time period, how the money is spent). Don't just repeat earlier points.

Preview

EXAMINER'S NOTE **Useful phrases for evaluation**

"However, this depends on..." · "In the short run... but in the long run..." · "This is more likely if..." · "The effectiveness will be limited if..." · "On balance, ... because..."

Section A: data-response technique

Section A is worth **25% of Paper 2**. It tests whether you can **use information** — so the source is your best friend.

1. **Read the questions first** so you know what to look for
2. **Read the source** and highlight figures, trends and key phrases
3. **Note the command word** and marks for each part
4. **Answer using the data** — quote figures with units and years
5. **Leave time** for the final "Discuss" part (the most marks)

Good practice

- **Quote data accurately**: "inflation rose from 4.5% in 2024 to 9.2% in 2025".
- Describe **trends** (rose, fell, fluctuated) and **compare** (by how much, which is largest).
- Show **calculations** step by step with units.
- **Link** the data to economic theory: "this suggests demand is price inelastic because...".
- In the last part, consider **both sides** and give a **judgement**.

Avoid

- Copy long chunks of the source — it earns **no marks** on its own.
- Ignore the information and write a general essay.
- Confuse **percentage** and **percentage points** (inflation rising from 2% to 3% is a 1 percentage point rise, but a 50% rise).
- Forget that a **fall in the rate** of growth or inflation still means an increase.
- Spend more time than the marks deserve.

WORKED EXAMPLE | **Turning data into marks**

Question: "Using the information, explain whether the economy's performance improved." *Data:* growth 5.8% → 3.1%; unemployment 4.0% → 5.5%. **Weak:** "It got worse." (*0–1*) **Strong:** "Performance worsened: the rate of economic growth **fell from 5.8% to 3.1%**, so output grew more slowly, and unemployment **rose by 1.5 percentage points to 5.5%**, meaning more resources were wasted. *However*, the economy was **still growing**, so output was higher than the year before." (*full marks — data + interpretation + a qualification*)

Drawing diagrams that score full marks

Diagrams are a huge source of marks — and an easy place to lose them. Follow these rules **every time**:

Preview

1. Use a **ruler** and a **pencil**; draw it **large** (at least a third of a page).
2. **Label both axes** fully: "Price" and "Quantity" (or "Wage rate" and "Quantity of labour", etc.). Mark the origin **O**.
3. **Label every curve** (D, S, D_1, D_2, S + tax...).
4. Mark the **original equilibrium** and the **new one**, with dotted lines to both axes (P1, Q1, P2, Q2).
5. Show the **direction of any shift** with an arrow.
6. **Refer to the diagram** in your writing: "As shown in the diagram, demand shifts from D_1 to D_2, raising price from P1 to P2."

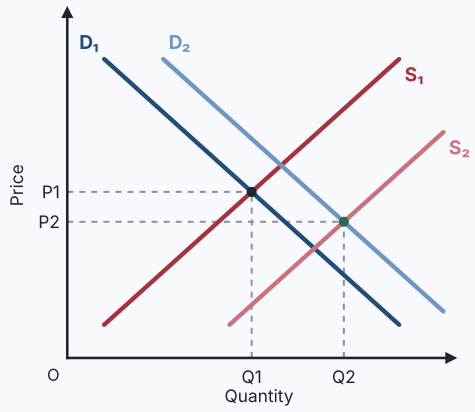


FIGURE 1 *A fully labelled diagram — every curve, axis, price and quantity is marked.*

COMMON ERROR **The most common diagram errors**

Unlabelled axes · shifting the wrong curve · drawing a movement along a curve when the question is about a shift · forgetting the new equilibrium · no arrows · a diagram that is never mentioned in the written answer.

Multiple-choice technique (Paper 1)

- You have **90 seconds per question**. Don't get stuck — mark it and come back.
- Read **every option** before choosing. Two options are often "nearly right".
- Watch for **NOT**, **LEAST**, **MOST** and **always** in the question.
- For diagram questions, **draw the change yourself** on the question paper first.
- For calculation questions, **estimate** first — it helps you spot a silly answer.
- Never leave a blank. There is no penalty for a wrong answer.
- Many questions test the **difference between a shift and a movement** — the #1 trap in Paper 1.
- Practise past papers under timed conditions in the final weeks.

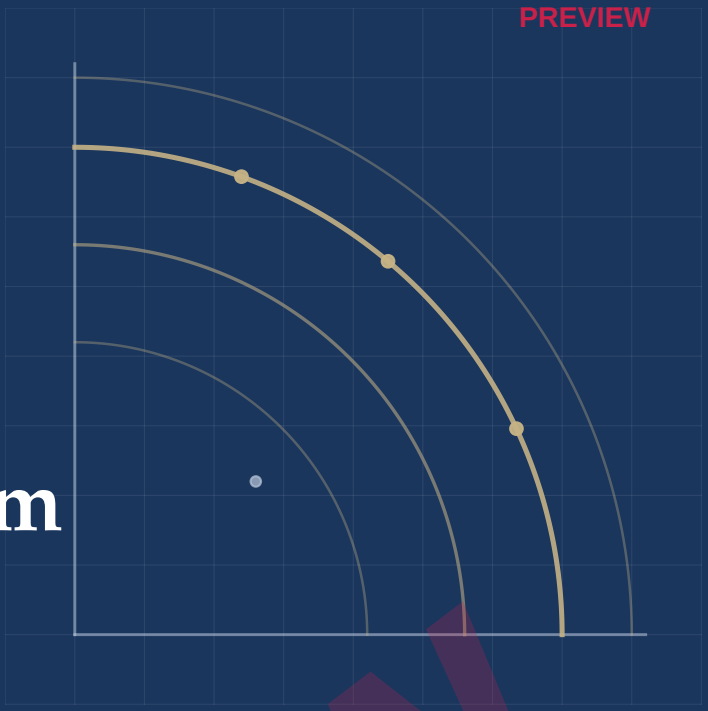
Preview

PREVIEW

CHAPTER ONE

01

The basic economic problem



CAMBRIDGE O LEVEL ECONOMICS 2281 · SYLLABUS TOPIC 1

Preview

Every question in economics begins with scarcity. Resources are limited while wants are not, so individuals, firms and governments must make choices. This chapter introduces the core ideas on which the rest of the course is built: scarcity, the factors of production, opportunity cost and the production possibility curve.

IN THIS CHAPTER

1.1 The nature of the basic economic problem

1.2 Factors of production

1.3 Opportunity cost

1.4 Production possibility curve (PPC) diagrams

Chapter at a glance · Worked exam question · Exam-style questions

KEY TERMS

- Basic economic problem
- Scarcity
- Economic good
- Free good
- Factors of production
- Land, labour, capital, enterprise
- Opportunity cost
- Production possibility curve

BY THE END OF THIS CHAPTER YOU SHOULD BE ABLE TO

- define the basic economic problem and explain scarcity for different decision-makers
- explain the three basic economic questions and the difference between economic and free goods
- describe the factors of production, their rewards and the causes of changes in their quantity and quality
- apply opportunity cost to the decisions of consumers, workers, firms and governments
- draw and interpret production possibility curves, including movements along and shifts of the curve

1.1 The nature of the basic economic problem

*Economics is the study of how people, firms and governments **use scarce resources to satisfy their wants**. Every economic issue — from the price of a cup of tea to a country's trade deficit — comes back to one idea: **we cannot have everything we want**.*

1.1.1 Finite resources and infinite wants

Finite resources

Resources (land, labour, capital and enterprise) are **limited** in supply. There is only so much land, only so many workers, only so many machines at any moment in time.

Infinite wants

Human wants are **unlimited**. As soon as one want is satisfied, another appears — a bigger house, a faster phone, better healthcare, cleaner air.

DEFINITION | The basic economic problem

The basic economic problem is the problem of how to allocate **finite (limited) resources** to satisfy **infinite (unlimited) wants**.

DEFINITION | Scarcity

Scarcity is the situation where there are **insufficient resources to meet all wants**. Because resources are scarce, **choices** have to be made.

Infinite wants → meet **finite resources** → creating **scarcity** → so **choices** must be made → and every choice has an **opportunity cost**

EXAMINER'S NOTE **Needs vs wants**

A **need** is something necessary for survival (food, water, shelter, clothing). A **want** is anything people desire, including needs *and* luxuries. In the exam, refer to "**wants**" being unlimited — it is the more precise term used by the syllabus.

The basic economic problem for every decision-maker

The syllabus expects you to give examples of the basic economic problem in the context of **consumers, workers, producers/firms and governments**. Scarcity affects *all* of them:

Decision-maker	Scarce resource they have	Unlimited wants they face	Example of the problem
Consumers	Limited income (and time)	Food, clothes, phones, holidays, entertainment...	A student with Tk 1,000 must choose between a textbook and going out with friends.
Workers	Limited time and skills	Higher wages, leisure, job satisfaction, training	A worker must decide how many hours to work vs how much leisure time to keep.

Preview

Decision-maker	Scarce resource they have	Unlimited wants they face	Example of the problem
Producers / firms	Limited capital, labour, land, budget	Expanding output, new products, more machines, higher profits	A garment factory must choose whether to buy new sewing machines or open a new branch.
Governments	Limited tax revenue and borrowing	Schools, hospitals, roads, defence, pensions, the environment	A government must choose between building a new hospital or a new bridge.

COMMON ERROR "Scarcity means something is rare"

In economics, scarcity does **not** just mean "rare". Even common goods like rice are scarce because producing them uses resources that could be used for something else. Only **free goods** (see 1.1.3) are not scarce.

1.1.2 Resource allocation decisions

Because resources are scarce, every economy must answer **three basic economic questions**. How these are answered decides how resources are **allocated** (shared out).

(1) WHAT to produce?

Which goods and services, and in what quantities? More hospitals or more motorways? More rice or more jute? More consumer goods today or capital goods for the future?

(2) HOW to produce?

Which combination of resources and methods? **Labour-intensive** (many workers) or **capital-intensive** (many machines)? Where should production take place?

(3) FOR WHOM to produce?

Who receives the goods and services? Those who can pay the most? Everyone equally? Those in greatest need?

APPLIED EXAMPLE Who answers the three questions?

- In a **market economy**, the three questions are answered mainly by the **price mechanism** — the interaction of consumers and private firms (see 2.4.1 and 2.8).
- In a **mixed economy** (most countries, e.g. Bangladesh, the UK, India), both the **market** and the **government** answer them — for example, the government decides how many state schools to build, while private firms decide how many smartphones to sell.

1.1.3 Economic goods and free goods

DEFINITION | Economic good

A good that is **scarce** — it takes **scarce resources** to produce it, so it has an **opportunity cost**. Almost all goods are economic goods (e.g. bread, cars, haircuts, bottled water).

DEFINITION | Free good

A good that is **not scarce** — it is so plentiful that supply is greater than demand at a zero price. It needs **no scarce resources** to produce, so it has **zero opportunity cost** (e.g. air, sunlight, seawater).

	Economic good	Free good
Uses scarce resources?	Yes	No

Preview

	Economic good	Free good
Opportunity cost?	Yes — something is given up	No (zero)
Price?	Usually has a price (unless provided "free" by the government)	No price
Examples	Textbooks, electricity, bottled water, medical care	Air, sunlight, sand in a desert, seawater

COMMON ERROR **"Free" school meals are NOT free goods**

Goods provided **free of charge** by the government (e.g. state education, free vaccinations) are still **economic goods**. They use scarce resources — teachers, buildings, medicines — paid for by taxes. They have an opportunity cost: the money could have been spent on something else.

EXAMINER'S NOTE **Can a free good become an economic good?**

Yes! Clean air in a polluted city becomes scarce — people buy air purifiers and governments spend money to reduce pollution. Fresh water in a drought-hit area also becomes an economic good. Linking this to **environmental sustainability** is a strong, modern exam point.

1.2 Factors of production

1.2.1 Factors of production and their rewards

DEFINITION | **Factors of production**

The **resources** used to produce goods and services. There are four: **land, labour, capital and enterprise**.

Land → reward: RENT

Definition: all **natural resources** — gifts of nature — used in production. Examples: farmland, forests, fish in the sea, oil, natural gas, minerals, rivers, the weather.

Labour → reward: WAGES

Definition: human effort — physical and mental — used in production. Examples: a garment worker, a teacher, a software engineer, a doctor, a farm labourer.

Capital → reward: INTEREST

Definition: human-made goods used to produce other goods and services (also called **capital goods**). Examples: machinery, factories, tools, delivery vans, computers, roads.

Enterprise → reward: PROFIT

Definition: the **willingness and ability to take risks** and to **organise** the other three factors of production to produce goods and services. The person who does this is the **entrepreneur**.

MEMORY AID **Remember the rewards: "Real Wealth Is Profit"**

Rent – Land · **W**ages – Labour · **I**nterest – Capital · **P**rofit – Enterprise (in the same order as **L**and, **L**abour, **C**apital, **E**nterprise).

Preview

What does an entrepreneur actually do?

- **Takes risks** — invests money in a business that may fail (risk of loss).
- **Organises** the other factors — hires workers, buys machines, rents land.
- **Makes key decisions** — what to produce, how to produce it, what price to charge.
- **Innovates** — creates new products and new ways of producing.

The reward, **profit**, is what is left after all other costs are paid. It is a reward for **risk-taking**. If the business makes a loss, the entrepreneur bears it.

> ⚠ COMMON ERROR **Money is NOT capital (in this sense)**
>
> In economics, "capital" as a factor of production means **physical capital goods** — machines, tools, buildings. Money (financial capital) is used to *buy* capital goods, but it does not itself produce anything. Write "machinery" or "equipment" as your example, never "money".

> ⓘ NOTE **Capital goods vs consumer goods**
>
> **Capital goods** are used to make other products (an oven in a bakery). **Consumer goods** are bought by households for their own use (a loaf of bread). The *same item* can be either: a car bought by a family is a consumer good; a car bought by a taxi firm is a capital good.

1.2.2 Quantity and quality of factors of production

An economy's ability to produce depends on **how many** resources it has (**quantity**) and **how good** they are (**quality** = productivity). The syllabus asks for the **causes of changes** in both.

Factor	Causes of changes in	Causes of changes in
Land	Land reclamation from the sea (e.g. Singapore, the Netherlands); discovery of new mineral or gas reserves; deforestation and desertification (decrease); rising sea levels and soil erosion due to climate change (decrease); depletion of non-renewable resources	Fertilisers and irrigation (increase); improved farming methods; over-farming and pollution (decrease); soil exhaustion; climate change damaging soil and water
Labour	Population growth or decline; net migration (immigration ↑, emigration ↓); changes in the **retirement age** and the school-leaving age; more women joining the labour force; changes in welfare benefits and wages (incentives to work)	**Education and training** (skills); **healthcare** (healthier workers are more productive); work experience; better nutrition; motivation
Capital	**Investment** (spending on new capital goods) increases it; **depreciation** (wear and tear) reduces it; government spending on infrastructure	**Technological progress** — newer machines are more productive (e.g. robots, AI, automated looms)
Enterprise	Lower taxes on profits; easier access to loans and finance; less red tape (regulation) to start a business; government grants for start-ups	Education in business skills; a culture that rewards risk-taking; access to information and technology

> 🔗 CHAIN OF ANALYSIS **How healthcare improves the quality of labour**
>
> Government spends more on healthcare → workers are healthier and take fewer sick days → output per worker (productivity) rises → firms' costs per unit fall → the economy can produce more goods and services → the economy's productive capacity grows (the PPC shifts outwards — see 1.4.4).

Preview

APPLIED EXAMPLE **Environmental sustainability and land**

Over-fishing in the Bay of Bengal and deforestation in many countries reduce the **quantity and quality of land** available for the future. This is why sustainability matters to economists: using up resources too quickly today reduces what future generations can produce.

1.3 Opportunity cost

1.3.1 Opportunity cost

DEFINITION | **Opportunity cost**

The **next best alternative forgone** (given up) when a choice is made.

Because of scarcity, choosing one thing means giving up something else. The opportunity cost is **not** everything you could have had — it is only the **single next best alternative** you sacrificed.

WORKED EXAMPLE | **Spot the opportunity cost**

Rahim has Tk 2,000. His three options, in order of preference, are: (1) a cricket bat, (2) a pair of trainers, (3) a video game. He buys the **cricket bat**. His opportunity cost is the **pair of trainers** (his next best alternative) — *not* the trainers **and** the video game.

Opportunity cost in different contexts

Consumers

A family spends its savings on a holiday → the opportunity cost might be a new fridge they can no longer afford.

Producers / firms

A firm uses its factory to produce shirts → the opportunity cost is the trousers it could have produced with the same machines and workers.

Workers

A school-leaver goes to university for 4 years → the opportunity cost is the **wages** they could have earned working during those years.

Governments

A government spends $500 million on a new airport → the opportunity cost might be 10 new hospitals it could have built instead.

COMMON ERROR **Opportunity cost is not just money**

Opportunity cost is about **what is given up**, not the price paid. Time has an opportunity cost too: an hour spent watching TV could have been an hour of revision. The opportunity cost of a free good is **zero**.

1.3.2 The influence of opportunity cost on decision-making

Rational decision-makers compare the **benefit** of a choice with its **opportunity cost**. If the benefit is bigger than the next best alternative, they go ahead.

- **Consumers** compare products and choose the one that gives the most satisfaction for their limited income. A rise in the price of one good increases its opportunity cost, so they may switch to a substitute.

Preview